Chart Pack

March 2026

Genium Investment Partners

Market rotation continues to gain steam

- US equities have started 2026 with one of the weakest relative performance periods on record
- Markets broadly are rotating out of US equities, and into other economies and sectors.
- The Magnificent 7 has also lagged, down ~7% YTD to the end of February. At the same the S&P493 is up 4% YTD.
- Markets broadly are flat at an index level, however beneath the surface there are enormous variations in performance and valuation changes.
- There are many factors contributing to the rotation, namely USD concerns, US political instability, very high relative valuations and concerns about AI revenue timelines.

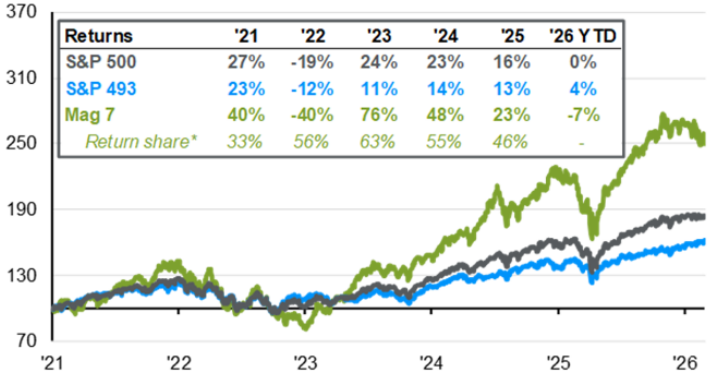
US vs. World ex US Equities (Since 1995, in USD)

Note: Each line represents the relative performance of S&P 500 versus World ex US Equities in a year.

Augur Infinity

Magnificent 7 performance in the S&P 500

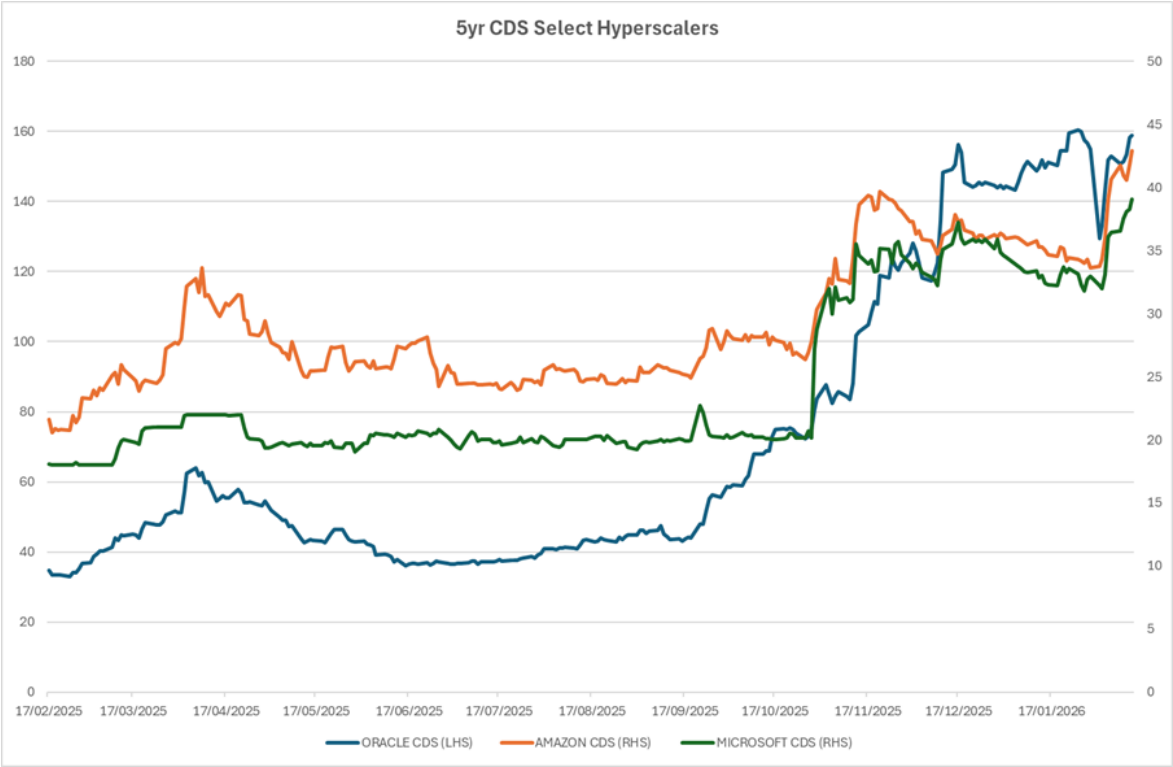
Indexed to 100 on 1/1/2021, price return



Returns	'21	'22	'23	'24	'25	'26 Y TD
S&P 500	27%	-19%	24%	23%	16%	0%
S&P 493	23%	-12%	11%	14%	13%	4%
Mag 7	40%	-40%	76%	48%	23%	-7%
*Return share**	*33%*	*56%*	*63%*	*55%*	*46%*	-

Source: Augur Infinity, Ycharts. FactSet, Standard & Poor's, J.P. Morgan Asset Management (27/02/2026).

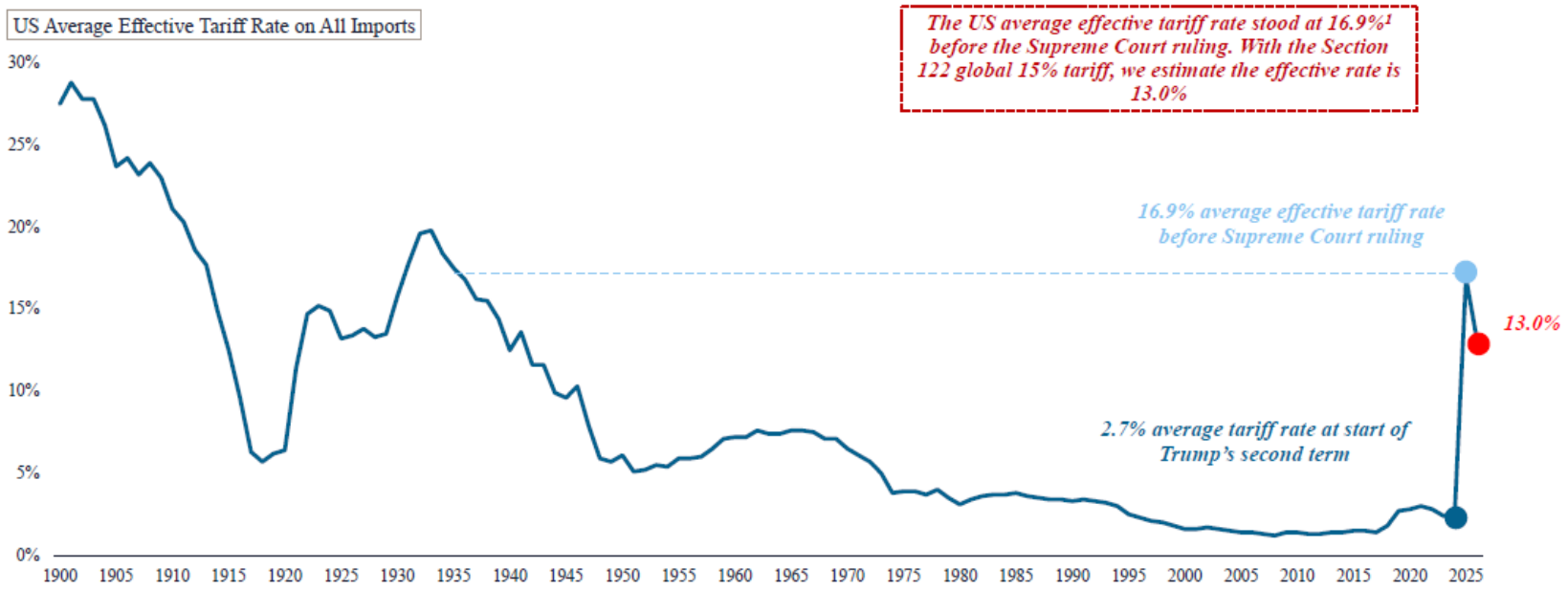
Credit markets are starting to see more risk too



- Credit markets have started to reprice risks for hyperscalers, albeit from a pristine risk level.
- **Microsoft is one of a tiny number of AAA rated (non-government owned) corporates left on the planet.** Even its 5-year credit default spreads have doubled in the last couple of months.
- BBB Oracle spreads have quadrupled in less than 6 months highlighting how quickly credit markets can reprice risk.
- If AI is such a sure bet and there's so much money to raise why aren't equity investors being asked to put their hand in their pockets for more, at least for the publicly traded names?

Supreme Court Ruling on Tariffs

- In a 6-3 ruling, the Supreme Court overturned President Trump's IEEPA tariffs
- Refunds are likely, however this process will take time and may be purposefully delayed.
- Even after the reduced tariff rates are factored in, the US Effective Tariff Rate remains elevated against historical levels.
- At this stage, most alternatives options to implement tariffs have a limited life on them. Longer term and higher tariffs will need congress approval, which is unlikely.



Impacted tariffs include:

- 10% global baseline duties on all imports
- Fentanyl-related duties of 25% on Canada, Mexico, and 20% on China
- Individual country-by-country "reciprocal" tariff rates and negotiated rates as part of recent trade agreements

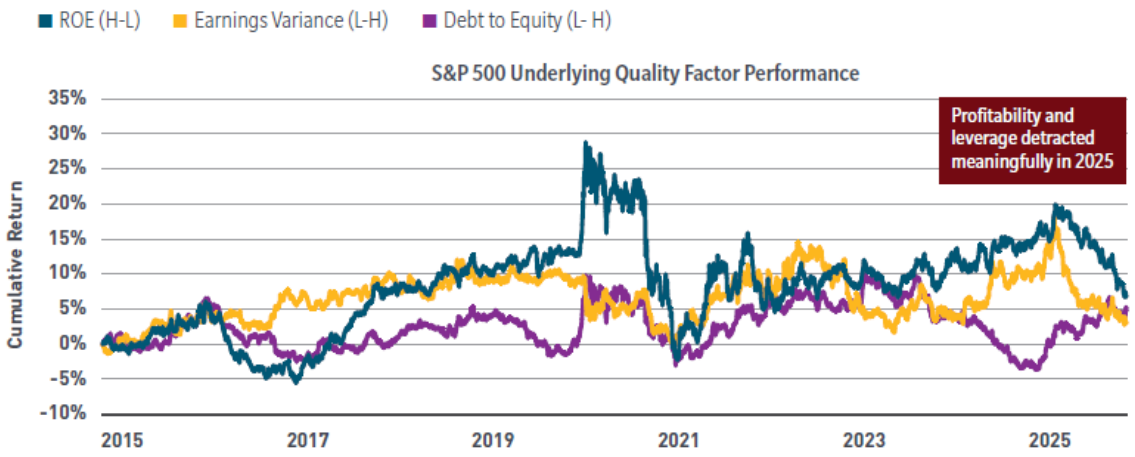
Tariffs not impacted:

- Sector-specific tariffs on steel, aluminum, autos, pharmaceuticals, semiconductors, and other industries
- Any potential new investigations or duties launched via Section 301, including a potential investigation into foreign drug pricing practices

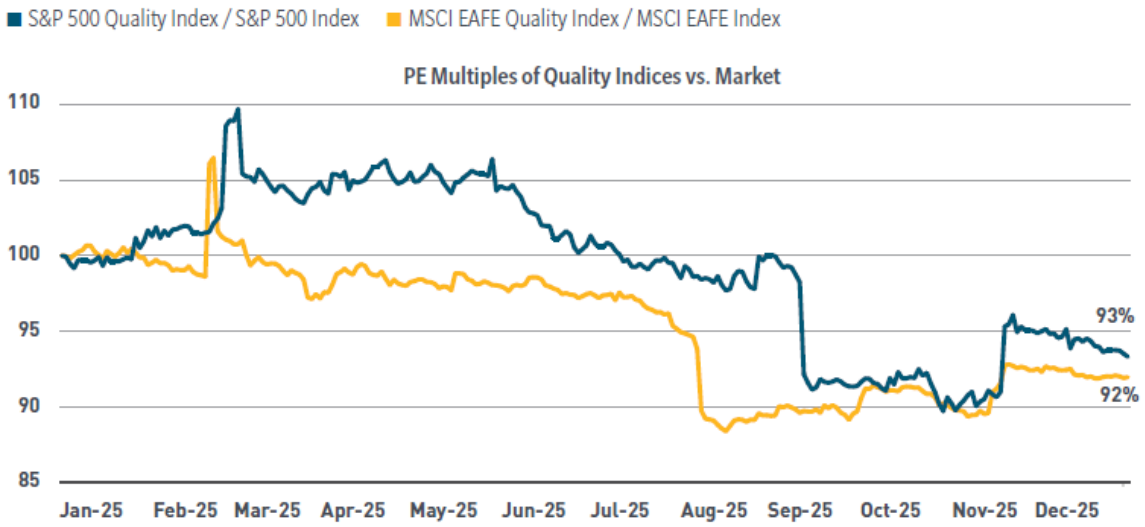
Source: *Lazard, Global Trade Alert, Yale Budget Lab.*

Attractive entry point for Quality?

- The quality factor was torched in 2025 as investors chased opportunities in higher growth or riskier market sectors.
- Unprofitable companies significantly outperformed profitable companies in 2025.
- Earnings stability was the sharpest detractor, especially in the US. Companies with stable earnings lagged their more volatile peers as investors sought exposure to cyclical acceleration and AI-related growth themes.
- Outside the US, ROE factor is a clear standout.
- Currently volatile conditions reduce the margin for error among businesses, which supports increasing allocations to quality where outcomes are more certain.
- Valuation gap for quality currently provides an attractive entry point.



Source: Piper Sandler Factor dashboard, S&P 500 Factor Performance: (H-L) High minus low (L-H) low minus high, long short, sector neutral, equal weighted factor performance daily data 2 January 2015 to 31 December 2025.

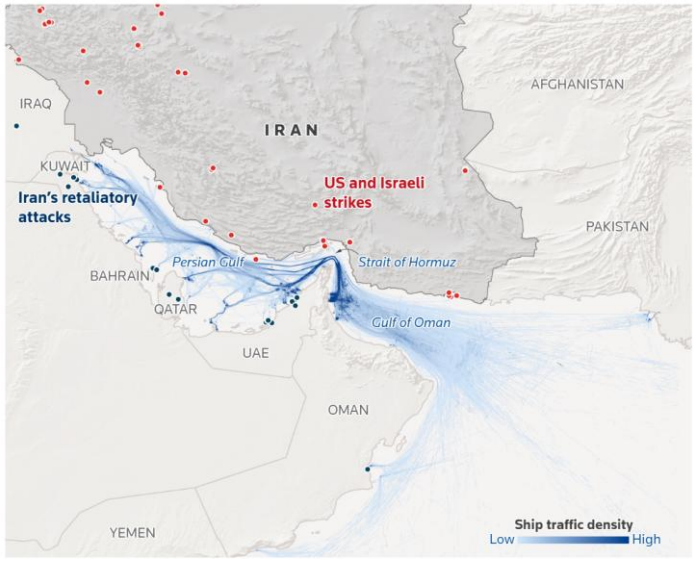


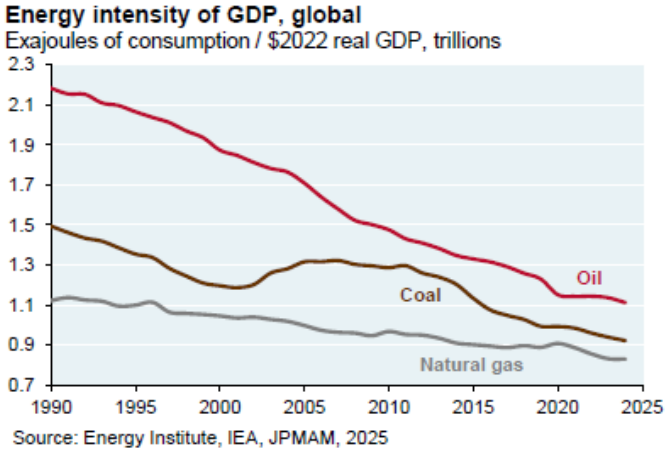
Source: Bloomberg daily data 1 January 2025 to 31 December 2025. Relative Price Earnings ratios rebased to 100.

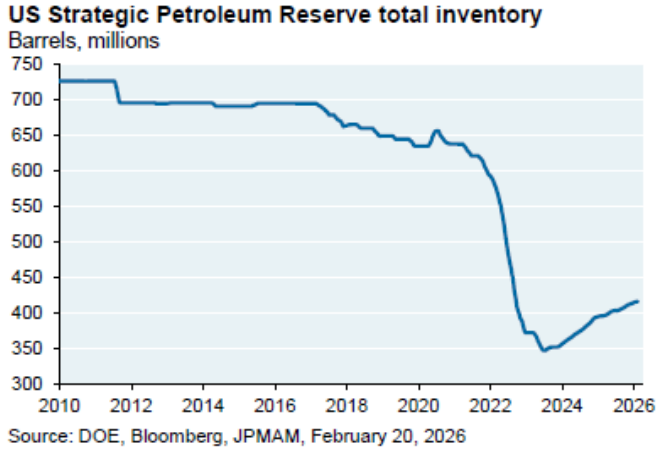
Source: *MFS, Piper Sandler Factor Dashboard, Bloomberg,*

Iran and Oil

- A coordinated U.S.-Israel air campaign struck hundreds of targets across Iran, including nuclear, missile and command infrastructure, and resulted in the confirmed death of Supreme Leader Ayatollah Ali Khamenei.
- Regional retaliation and market disruption: Iran responded with strikes across Israel and multiple Gulf states, while regional airspace closures and the effective shutdown of the Strait of Hormuz created immediate supply-chain and energy security concerns.
- 20% of the world's oil supply flows through the Strait of Hormuz.
- While near-term volatility in crude is likely given physical disruption risk and higher insurance/shipping costs, OPEC+ output increases should partially cushion supply pressure if infrastructure damage remains limited.
- Gas and goal intensities of GDP have fallen since 1990, with more energy efficient processes and renewables. This means an oil and gas price spike should have a smaller impact on GDP than in previous cycles.

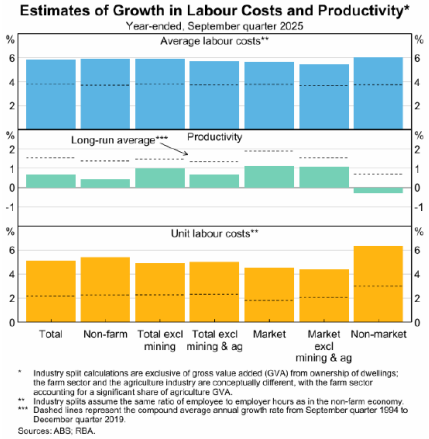


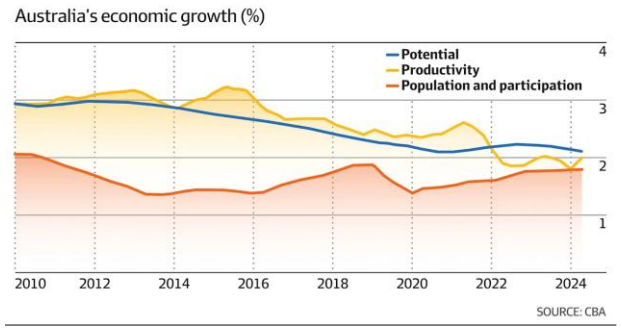


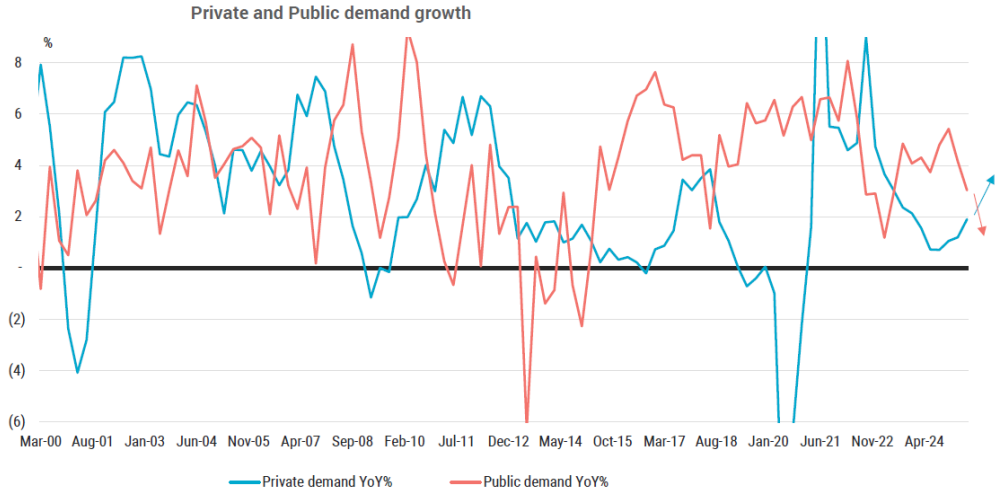


Source: *Trading Economics, Reuters, Energy Institute, IEA, DOE, Bloomberg, JPMAM, .*

Productivity turnaround?







- Australia's low productivity has been a function of growth mix (low public sector demand), low mining output growth, and a cyclical slowing of economic growth (13 rate hikes, commodity declines and population restrictions).
- Breaking down out productivity by economic activity, mining has been a material lag, however this does not change that our productivity growth is weak.
- The mix shift in growth to private demand mechanically results in a higher productivity growth. Even if aggregate GDP growth remains around 2%yoy a noticeable pick-up in productivity will still be detected.
- RBA only mentioned AI once in its latest Statement on Monetary Policy, and it was the context of AI spending drawing capital away from other areas of the economy rather than on the productivity benefits. Meanwhile, the US Federal Reserve commentary is far more focussed on the AI productivity benefits.
- RBA view on AI productivity is staunchly different to the US – we expect this will converge over time, although the timing of any AI induced productivity benefits are unclear.
- RBA modelling on the output gap (which they feel is positive) implicitly assumes 0 productivity growth. Even if its low, no growth is unlikely, and any pickup from here would be positive.

Source: Yarra Capital, Bloomberg, ABS, RBA, CBA.